

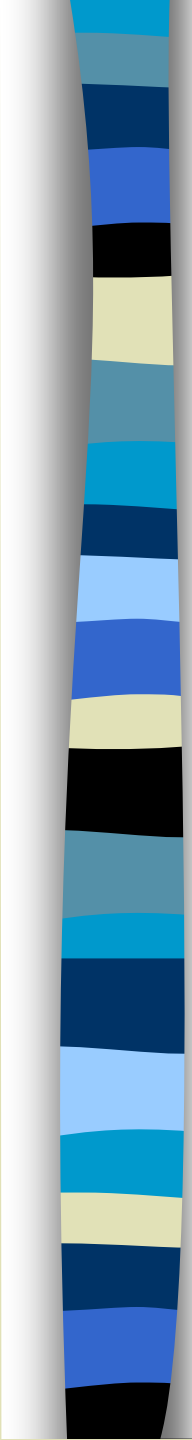
Consumer Research



Consumer Behaviour

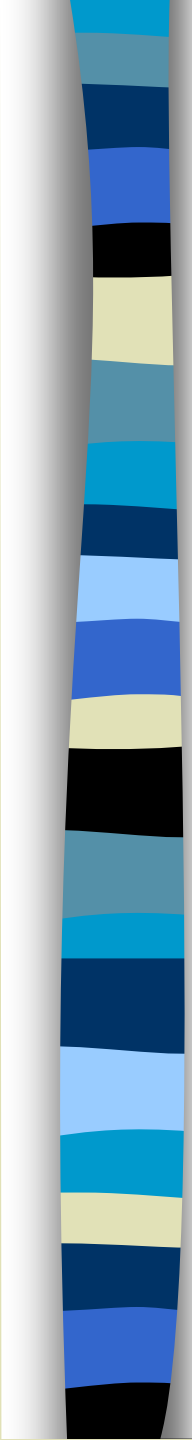
Opening Vignette

- ❑ Why are older Canadians less willing to switch to online banking?
 - ❑ Think it requires an advanced knowledge of technology
 - ❑ Perceive themselves as lacking in such knowledge
 - ❑ Telephone surveys, 1200 Canadians, 18+ years of age 



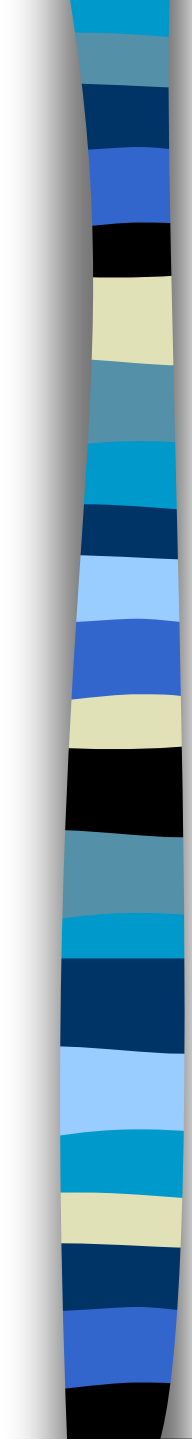
Interpretivism

- A postmodernist approach to the study of consumer behaviour that focuses on the act of consuming rather than on the act of buying



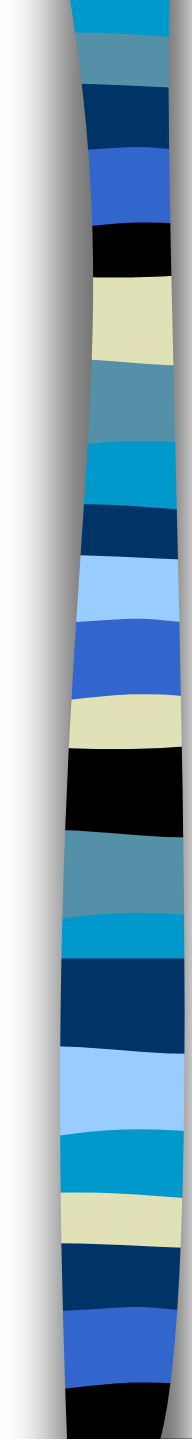
Positivism

- A consumer behaviour research approach that regards the consumer behaviour discipline as an applied marketing science.



Quantitative Research

- Descriptive in nature.
- Enables marketers to “predict” consumer behaviour.
- Research methods include experiments, survey techniques, and observation.
- Findings are descriptive, empirical and generalizable.



Qualitative Research

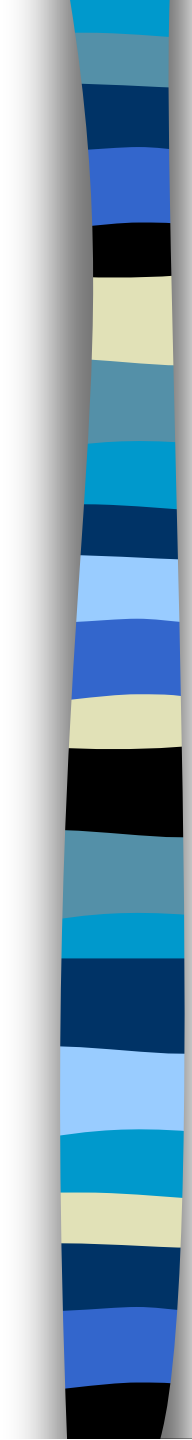
- Consists of depth interviews, focus groups, metaphor analysis, collage research, and projective techniques.
- Administered by highly trained interviewer-analysts.
- Findings tend to be subjective.
- Small sample sizes

Figure 2.1 Comparisons between Positivism and Interpretivism

PURPOSE	
Positivism Prediction of consumer actions	Interpretivism Understanding consumption practices
METHODOLOGY	
Positivism Quantitative	Interpretivism Quantitative

Figure 2.2 continued

ASSUMPTIONS	
Positivism	Interpretivism
•Rationality •The causes and effects of behaviour can be identified •Individuals are problem solvers •A single reality exists •Events can be objectively measured •Findings can be generalized	•No single, objective truth •Reality is subjective •Cause and effect cannot be isolated •Each consumption experience is unique •Researcher/respondent interactions affect research findings



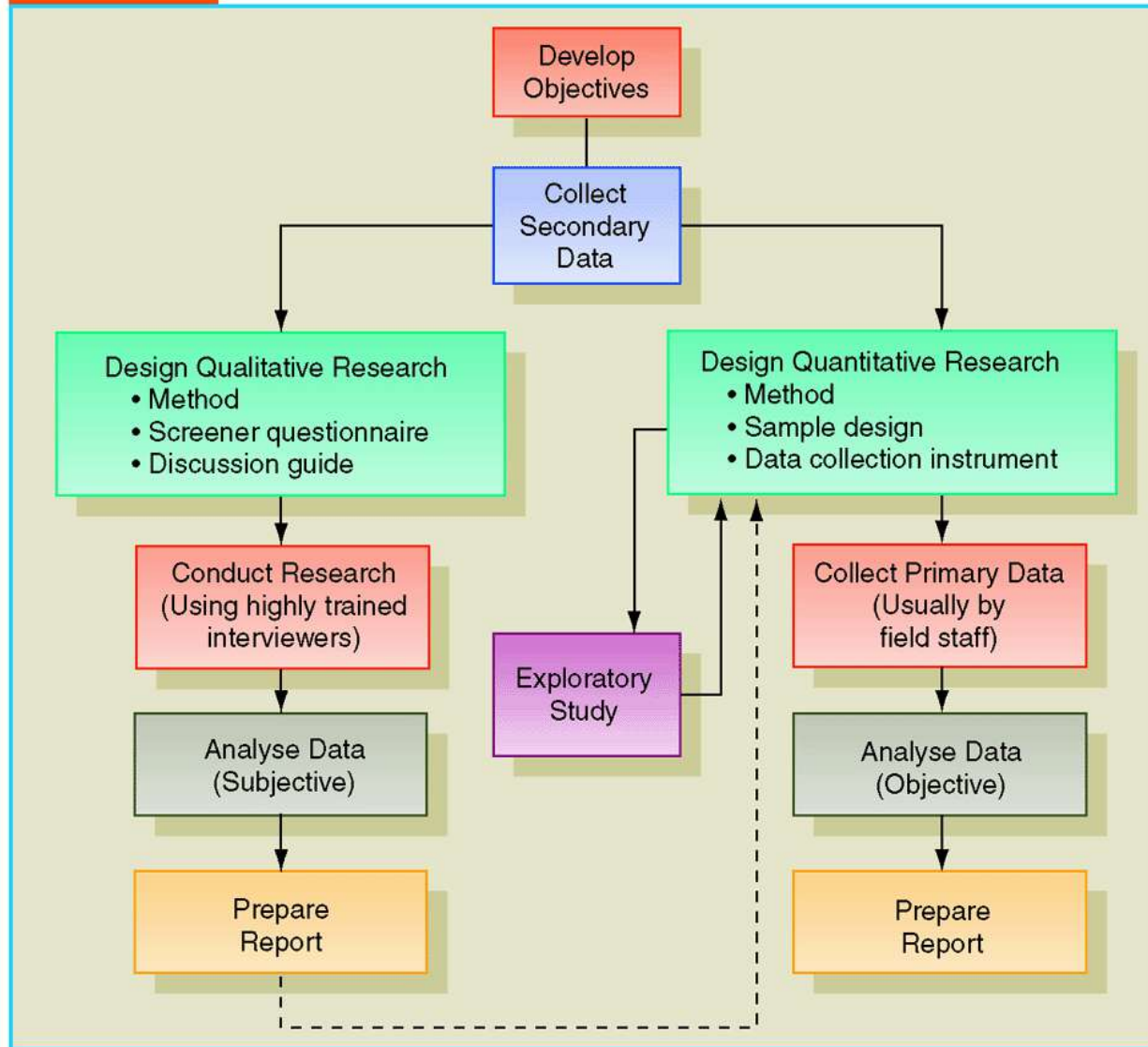
The Consumer Research Process

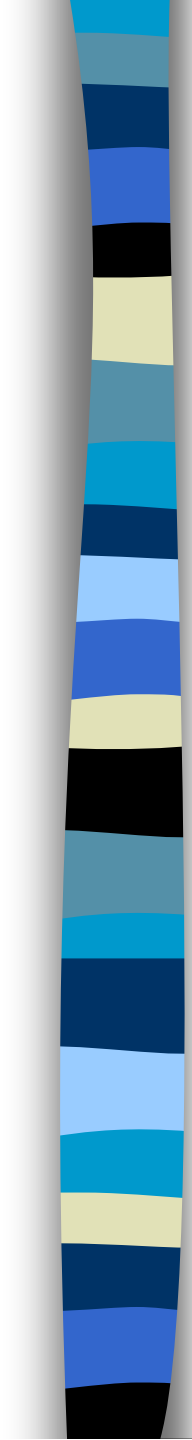
■ Six steps

- defining the objectives of the research
- collecting and evaluating secondary data
- designing a primary research study
- collecting primary data
- analyzing the data
- preparing a report on the findings

FIGURE 2-2

The Consumer Research Process





Developing Research Objectives

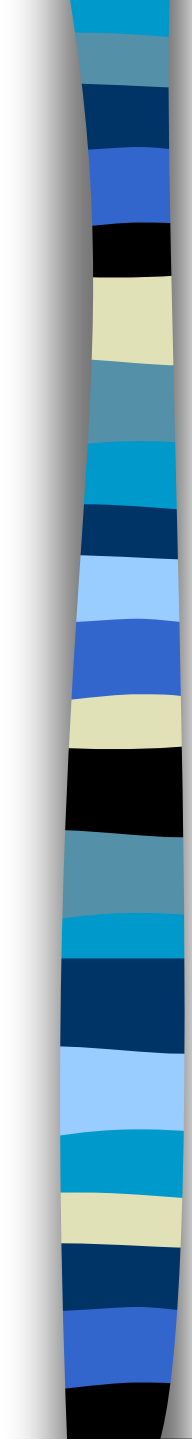
- Defining purposes and objectives helps ensure an appropriate research design.
- A statement of objectives helps to define the type and level of information needed.

Secondary Versus Primary Data

- Secondary data: data that has been collected for reasons other than the specific research project at hand

- Primary data: data collected by the researcher for the purpose of meeting specific objectives

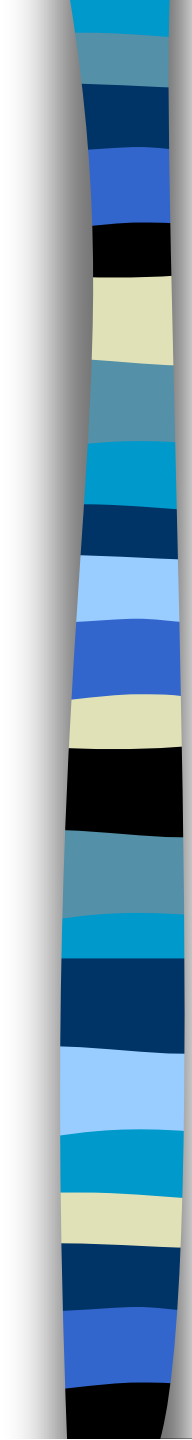




Major Sources of Secondary Data

Government Publications	Periodicals & Books
Internal Sources	Commercial Data

Data Collection Methods



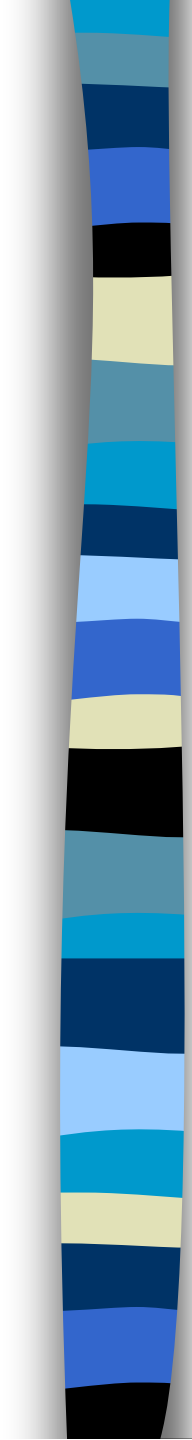
Observation



Experimentation

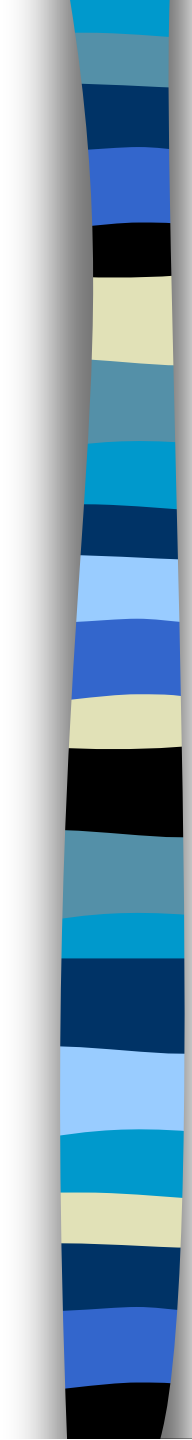


Surveys



Observational Research

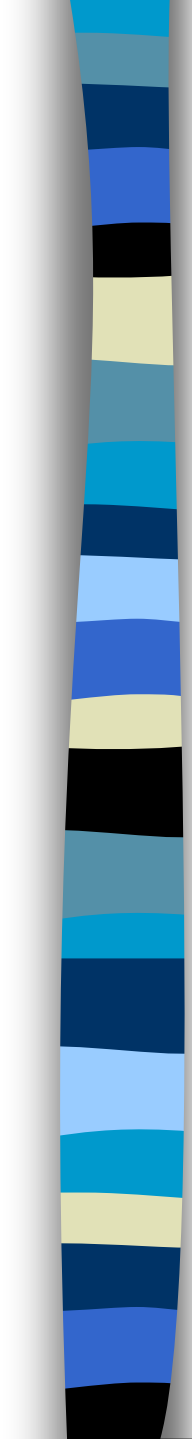
- Helps marketers gain an in-depth understanding of the relationship between people and products by watching them buying and using products.
- Helps researchers gain a better understanding of what the product symbolizes.
- Widely used by interpretivist researchers.



Experimentation

- Can be used to test the relative sales appeal of many types of variables.
- Only one variable is manipulated at a time, keeping other elements constant.
- Can be conducted in laboratories or in the field.

Survey Data Collection Methods

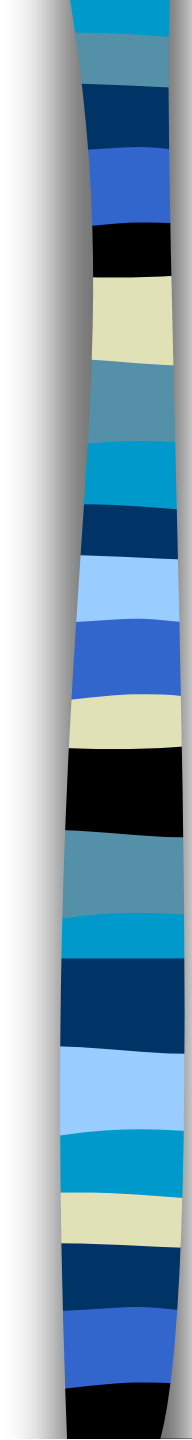


Personal Interview

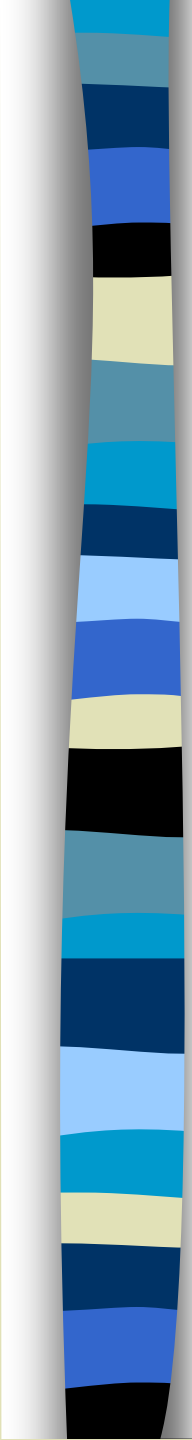
Mail

Telephone

Online

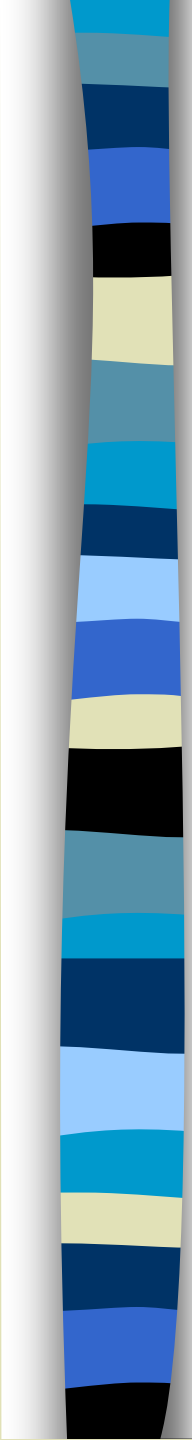
**FIGURE 2-4****Comparative Advantages and Disadvantages of Personal Interview, Telephone, Mail, and Online Surveys**

	PERSONAL INTERVIEW	TELEPHONE	MAIL	ONLINE SURVEY
Cost	High	Moderate	Low	Low
Speed	Slow	Immediate	Slow	Fast
Response rate	High	Moderate	Low	Self-selected
Geographic flexibility	Difficult	Good	Excellent	Excellent
Interviewer bias	Problematic	Moderate	N/A	N/A
Interviewer supervision	Difficult	Easy	N/A	N/A
Quality of response	Excellent	Limited	Limited	Excellent



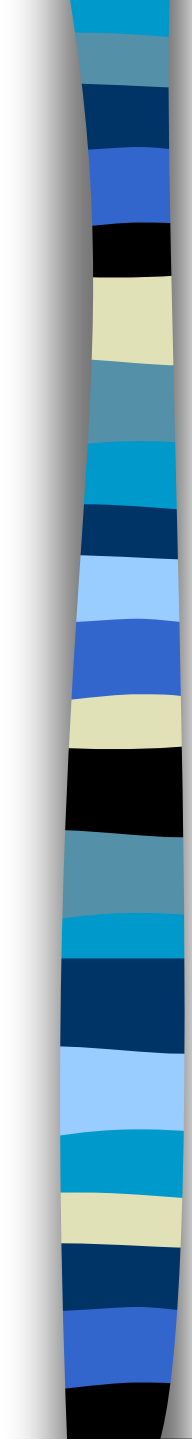
Validity

- The degree to which a measurement instrument accurately reflects what it is designed to measure



Reliability

- The degree to which a measurement instrument is consistent in what it measures



Attitude Scales

- ***Likert scales***: easy for researchers to prepare and interpret, and simple for consumers to answer.
- ***Semantic differential scales***: relatively easy to construct and administer.
- ***Rank-order scales***: subjects rank items in order of preference in terms of some criteria

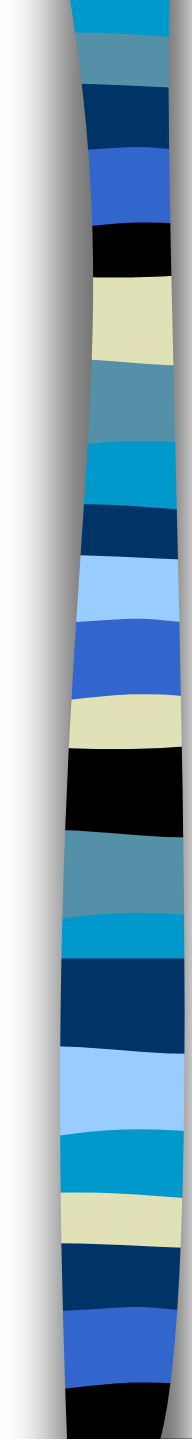


Figure 2.5 Example of a Likert Scale

Please place the number that best indicates how strongly you agree or disagree with each of the following statements about shopping online in the space to the left of the statement.

1 = Agree Strongly

2 = Agree

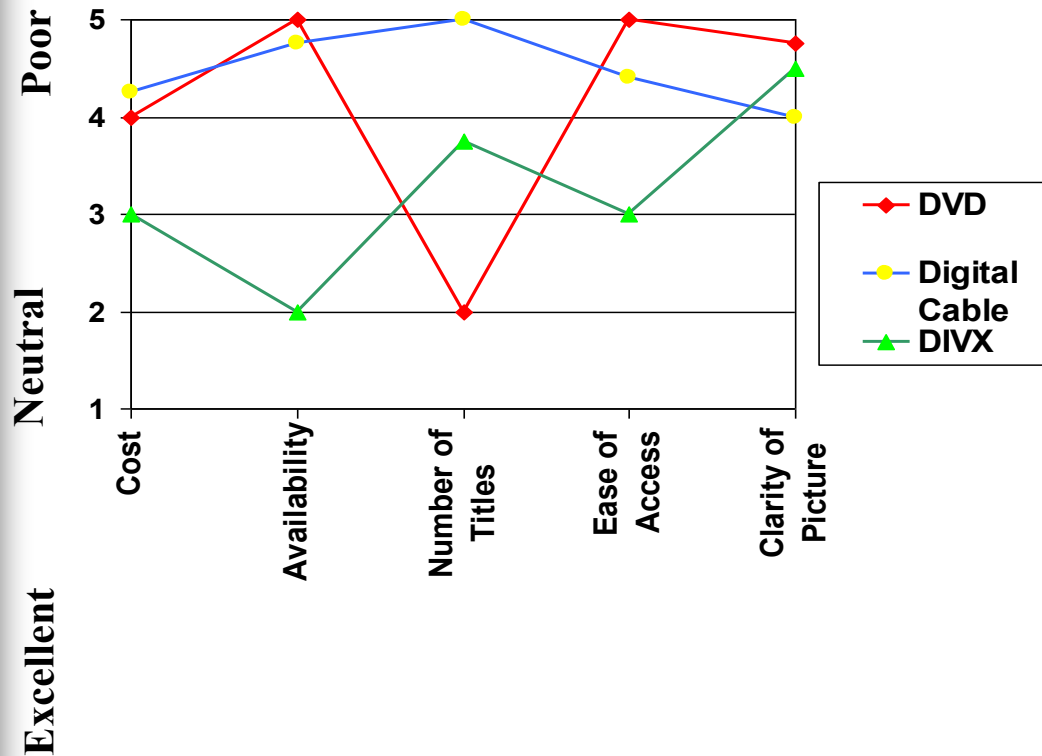
3 = Neither Agree or Disagree

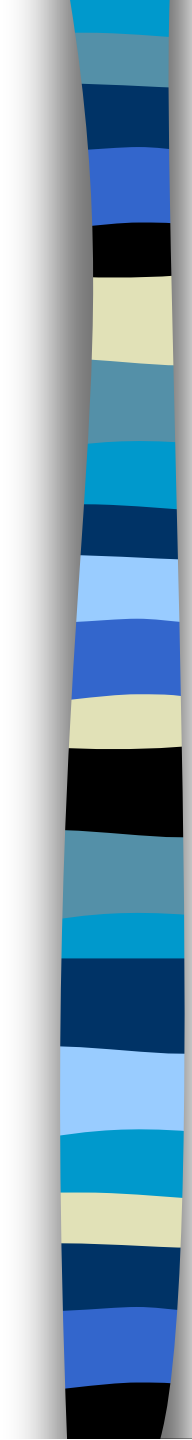
4 = Disagree

5 = Disagree Strongly

- a. It is fun to shop online.**
- b. Products often cost more online.**
- c. It is a good way to find out about new products.**

Semantic Differential Profiles of Three Pay-Per-Movie Services



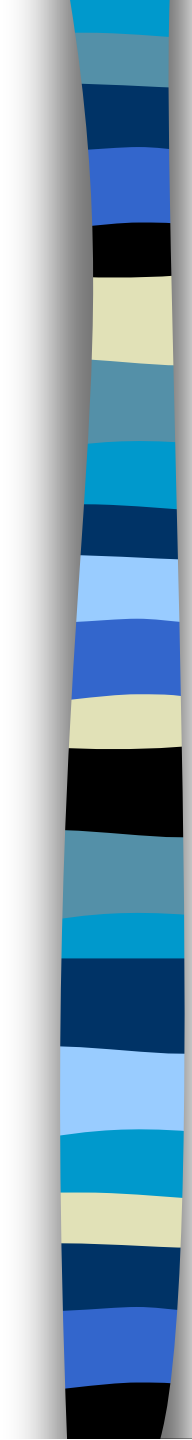


Rank-Order Scales

Rank the following computer manufacturers in terms of hotline help by placing a 1 next to the one who provides the best telephone help, a 2 next to the second best, until you have ranked all six.

_____ **IBM**
_____ **Dell**
_____ **Compaq**

_____ **Hewlett Packard**
_____ **Gateway**
_____ **NEC**



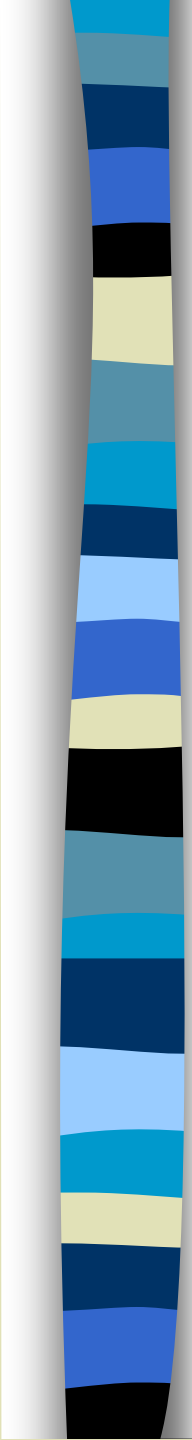
Qualitative Data Collection Methods

**Depth
Interviews**

**Focus
Groups**

**Projective
Techniques**

**Metaphor
Analysis**



Focus Group

- **A qualitative research method in which eight to ten persons participate in an unstructured group interview about a product or service concept**

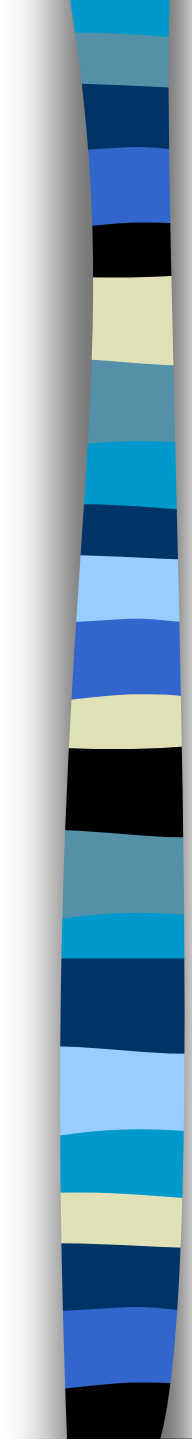
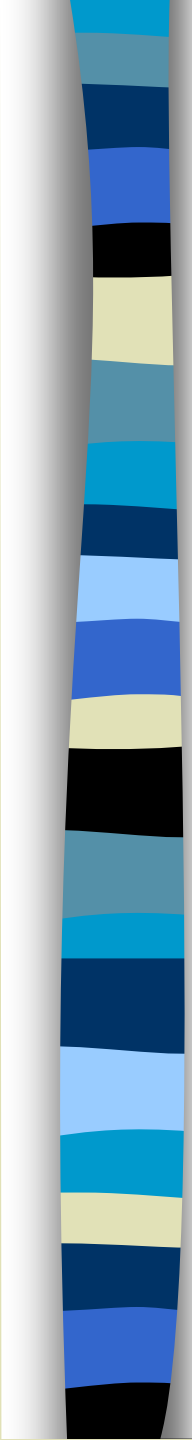


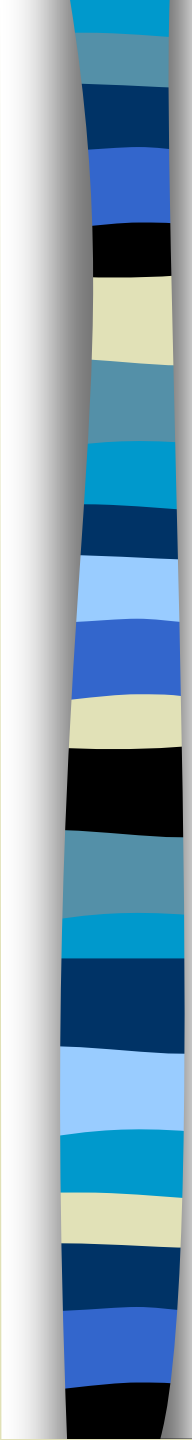
FIGURE 2-6 Selected Portions of a Discussion Guide

1. Why did you decide to use your current cellular company? (Probe)
2. How long have you used your current cellular company? (Probe)
3. Have you ever switched services? When? What caused the change? (Probe)
4. What do you think of the overall quality of your current service? (Probe)
5. What are the important criteria in selecting a cellular service? (Probe)



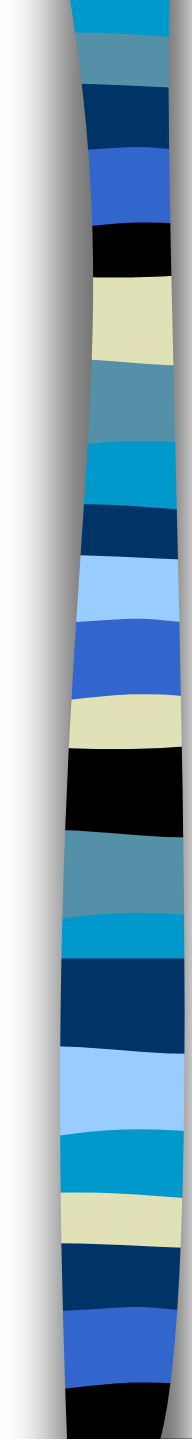
Projective Techniques

- **Research procedures designed to identify consumers' subconscious feelings and motivations.**



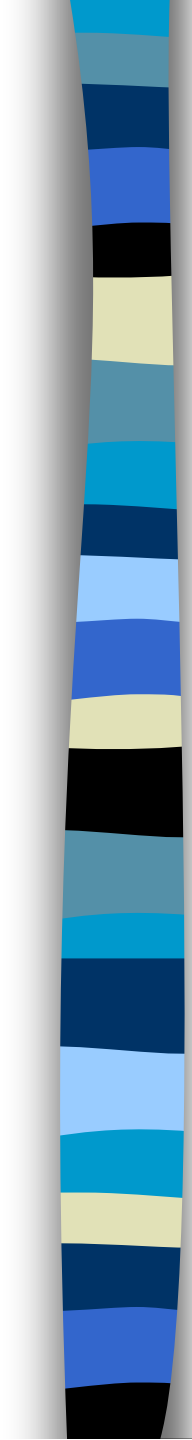
Metaphor Analysis

- Based on belief that metaphors are the most basic method of thought and communication.
- ***Zaltman Metaphor Elicitation Technique (ZMET)***
 - combines collage research and metaphor analysis
 - to bring to the surface the mental models and the major themes or constructs that drive consumer thinking and behaviour.



Customer Satisfaction Data Collection Instruments

- Customer Satisfaction Surveys
- Gap Analysis of Expectations versus Experience
- Mystery Shoppers
- Critical Incident Technique
- Customer Complaint Analysis
- Analysis of Customer Defections



Sampling Plan Decisions

**Whom to
survey?**

How many?

**How to
select them?**

Figure 2-7: Probability Sampling Designs

Simple random sample	Every member of the population has a known and equal chance of being selected.
Systematic random sample	A member of the population is selected at random and then every “nth” person is selected.
Stratified random sample	The population is divided into mutually exclusive groups (such as age groups), and random samples are drawn from each group.
Cluster (area) sample	The population is divided into mutually exclusive groups (such as blocks), and the researcher draws a sample of the groups to interview.

Figure 2.7 Non-Probability Sampling Designs

Convenience sample	The researcher selects the most accessible population members from whom to obtain information (e.g., students in a classroom)
Judgment sample	The researcher uses his or her judgment to select population members who are good sources for accurate information (e.g., experts in the relevant field of study).
Quota sample	The researcher interviews a prescribed number of people in each of several categories (e.g., 50 men and 5 women).